

Verisure: valuing a leveraged, capex-heavy security subscriber base with pm-valuation

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This document values **Verisure plc (VSURE)**, the Swiss-headquartered home and small-business security monitoring group, with pm-valuation, the same way [EduMatcher-valuation.md](#) values Tornfalk Security AB and [ai-ipo.md](#) values Nimbus Cognition: every input with its source, every formula as the code applies it, and every intermediate number, so each step can be checked by hand.

Unlike Nimbus, Verisure is **not fictive**. It is a real company that actually listed on Nasdaq Stockholm on 8 October 2025 — one year to the day before this document's "as of" date — and has reported two full quarters as a public company since. That makes this a different kind of exercise from Nimbus: every number below that is marked "you" is either a disclosed fact from Verisure's own prospectus-era and post-IPO reporting, or an explicit, labelled assumption where the public record doesn't give an exact figure. Section 10 then checks the model's verdict against what the market actually did — something no fictive exercise can offer. **This is an educational exercise in applying a teaching DCF, not investment advice, and not a professional valuation.**

Two questions drive the analysis, chosen because they are genuinely uncertain and the model can isolate them cleanly:

1. **How long does installed security hardware really last before it must be replaced?** Case A: 6 years. Case B: 10 years. Verisure discloses its *capex intensity* ($\text{capex} \div \text{revenue}$, $\approx 24\text{--}26\%$) precisely every quarter, but not the useful life it implies.
2. **How much does leverage alone cost the equity?** Verisure is a former private-equity buyout, and even after the IPO's paydown it still carries roughly €7.7bn of pre-IPO net debt at 4.8× EBITDA — far more than any growth-stock DCF case this tool was designed around.

1. Results

	Case A: 6-year hardware life	Case B: 10-year hardware life
Capex, % of revenue	25%	25%
Enterprise value, DCF	−€2,352m	−€1,148m
DCF price per share	−€12.76	−€11.26
Comparables price per share (5× next year's revenue)	€12.11	€12.11
Fair value per share (70% DCF, 30% comparables)	−€5.30	−€4.25
Monte Carlo median fair value	−€6.36	−€5.34
Monte Carlo: P(DCF equity below zero)	99.8%	99.0%
Verdict	POSTPONE	POSTPONE
<i>Isolating leverage: same business, debt set to zero</i>	fair value +€4.36 , PROCEED	(identical mechanism)

In short:

- **On this model, Verisure's own disclosed leverage — not its operations — is what sinks the equity value.** The DCF generates a near-break-even to modestly negative enterprise value (−€2.35bn to −€1.15bn, depending on hardware life); the dominant term in the bridge from enterprise value to equity value is "+ cash − debt" at **−€7.73bn**, Verisure's actual net debt immediately before its IPO. Removing the debt alone (keeping every operating assumption fixed) flips the verdict from POSTPONE to PROCEED at a positive €4.36 per share.
- **Hardware life matters much less here than it did for Nimbus's GPUs.** Stretching the depreciation life from 6 to 10 years raises the DCF price by only €1.50 (from −€12.76 to −€11.26), because the capex itself (25% of revenue, taken directly from Verisure's own disclosed capex intensity) is fixed in both cases — only the *pace* of writing it off changes.
- **The comparables valuation (€12.11, at the 5× EV/revenue multiple this analysis assumes) is close to what the real market actually paid.** Verisure's real IPO priced near €13.25–13.68 per share, and even after

the stock's subsequent decline, that comparables figure is far closer to reality than the fully-levered DCF — because real IPO investors price these businesses off EV/EBITDA and EV/revenue multiples applied to the *operating* business, then let the actual capital structure fall out of the market price, rather than hoping a textbook unlevered FCFF DCF organically clears €7.7bn of net debt.

- **The real outcome one year on is consistent with this picture.** Verisure listed at a premium to any pure cash-flow valuation, popped on debut, and by this document's "as of" date (8 October 2026) traded at €7.89 — down 46% from its one-year peak and already below even this model's comparables-only value. See §10.

2. What is public

All figures are as reported by Verisure plc itself (annual report, quarterly results, investor-relations key figures) or by the press covering the IPO. Money in the model's inputs below is in euros (**EUR**), Verisure's actual reporting and trading currency — not the Swedish krona the se market preset's cosmetic currency label implies; every se-market default used here (risk-free rate, ERP, tax rate, gross spread, etc.) is read as its literal percentage or euro value, the FX conversion never applies because every money figure below was supplied directly.

Fact	Value	Date	Source
Listing	Nasdaq Stockholm, ticker VSURE; completed the offering	8 Oct 2025	Wikipedia , FT
Target price range / implied market cap	€12.25–13.50/share; €12.9–13.9bn	29 Sep 2025	WSJ
Amount raised; resulting valuation	€3.2bn raised; €13.7bn post-money	8 Oct 2025	Wikipedia , FT
First-day move	shares "jump 21% on debut"	8 Oct 2025	FT
Pre-IPO shares (fully diluted)	800,000,000	at listing	Verisure Q2 2026 report (EPS note)
Total shares after listing (incl. IPO-day issuance)	1,033,962,264	8 Oct 2025	Verisure Q2 2026 report
Shares outstanding, most recent	1,036,031,534	30 Sep 2026	Verisure press release
Pre-owner	Hellman & Friedman (sole owner pre-IPO)	2025	Wikipedia
Customers served	~6.4m families and small businesses, 18 countries	Q2 2026	Verisure investors
Total customers (period end)	6,377,300 (Q2 2026); 5,831,400 (Q2 2025, pre-IPO)	Jul 2026	Verisure Q2 2026 report
ARPU (monthly)	€48.20 (Q2 2026); €46.6 (Q2 2025, pre-IPO)	Jul 2026	Verisure Q2 2026 report
Annualised attrition (churn)	7.4–7.5%, stable	Q2 2026	Verisure Q2 2026 report
Average customer lifetime	~15 years	2026	Verisure investors
Revenue, FY2025	€3,745m, +9.9% y/y	FY2025	Verisure Annual Report 2025
ARR, FY2025 year-end	€3,448m, +12.4% y/y	FY2025	Verisure Annual Report 2025
ARR, latest (Q2 2026)	€3,619.8m, +12.2% y/y	Jul 2026	Verisure Q2 2026 report
Adjusted EBIT margin	26.3% (Q2 2026); 25.4% (Q2 2025, pre-IPO)	Jul 2026	Verisure Q2 2026 report
Adjusted EBITDA margin (group)	45.7% (Q2 2026)	Jul 2026	Verisure Q2 2026 report
Portfolio Services Adjusted EBITDA margin	74.1% (servicing the existing base only)	Jul 2026	Verisure Q2 2026 report

Cost per acquisition (CPA)	€1,644 (Q2 2026, incl. rebrand); €1,474 (Q2 2025)	Jul 2026	Verisure Q2 2026 report
Capital expenditure intensity (capex ÷ revenue)	23.9% (Q2 2026); 25.8% (Q2 2025)	Jul 2026	Verisure Q2 2026 report
Full-time employees	24,767	2026	Yahoo Finance
Net debt / LTM net leverage, pre-IPO	€7,731.8m / 4.8×	Jun 2025	Verisure Q2 2026 report
Net debt / LTM net leverage, latest	€4,912.8m / 2.7×	Jun 2026	Verisure Q2 2026 report
Credit rating	Fitch BBB– (first investment-grade rating)	16 Jun 2026	Verisure Q2 2026 report
Weighted average cost of debt, post-refinancing	~4.25%	2026	Verisure Q2 2026 report
Cash and cash equivalents	€21.8m (Jun 2025, pre-IPO)	Jun 2025	Verisure Q2 2026 report
Interim dividend	€0.10/share, 35% of H1 2026 Adjusted Net Income	30 Jul 2026	Verisure Q2 2026 report
Share price, 8 Oct 2026 ("today")	€7.89, market cap €8.158bn	8 Oct 2026	Yahoo Finance
52-week range	€7.80–€16.61	as of 8 Oct 2026	Yahoo Finance
1-year total return	–45.84%	as of 8 Oct 2026	Yahoo Finance

3. From public facts to model answers

Verisure lists in Sweden (market: se): a prospectus approved by Finansinspektionen, Nasdaq Stockholm, and the EU Prospectus Regulation — all true to the real listing. No sector preset fits a professionally-monitored alarm subscription business exactly, so the model starts from `telecom_operator` (the closest structural match: a subscriber base, heavy infrastructure investment per customer, long asset life, moderate churn) and overrides most of its defaults. Year 0 is the last reported pre-IPO figure (mid-2025); year 1 is the first forecast year.

Field	Answer	Why
Name, ticker	Verisure plc, VSURE	Real
Sector preset	<code>telecom_operator</code>	Closest structural fit: subscriber base, capex-per-customer, long asset life
Market structure	dominant (30% ceiling)	Verisure states it is #1 in 14 of 18 markets and "~6× larger than the next biggest competitor"
Total addressable market	€55bn	Assumption: global professionally-monitored residential/SMB security services
SAM share	40%	Verisure's footprint (Europe + Latin America) as a share of the global TAM
Revenue, year 0	€3.41bn	Derived: FY2025 revenue €3,745m ÷ 1.099 (its own disclosed +9.9% y/y growth)
Customers now	5,831,400	Actual Q2 2025 total subscribers — the last reported count before the real Oct 2025 IPO
ARPU	€559/year	€46.6/month (Q2 2025) × 12
Churn	7.4%	Disclosed LTM attrition
Customer growth, year 1	9%	Below the disclosed +9.4% y/y total-portfolio growth (which includes the Mexico acquisition); a mature, large-base business, not a startup
Headcount	24,767	Disclosed full-time employees

Loaded cost per employee	€48,000	Assumption: blended across 18 countries including lower-cost Latin American markets
Staff split R&D / S&M / G&A / Ops	3 / 12 / 10 / 75%	§3.1: most of the 24,767 staff are field technicians and call-centre/ARC operators, not a sales force (see below)
Infrastructure per customer	€60/year	Assumption: the non-labour share of servicing cost (connectivity, consumables, third-party monitoring); see §3.1
Paid acquisition cost per customer	€1,000	§3.1: the <i>expensed</i> share of the disclosed €1,644 cost-per-acquisition; the rest is capitalised and flows through capex
Capex	25%	Verisure's own disclosed capital expenditure intensity (23.9–25.8%)
Useful life	6 (A) / 10 (B)	Not disclosed; the two cases bracket a plausible range for installed alarm hardware
Cash	€22m	Disclosed cash, Jun 2025 (pre-IPO)
Debt	€7,754m	Gross debt sized so cash – debt = –€7,731.8m, Verisure's own disclosed pre-IPO net debt
Tax losses carried forward	€300m	Assumption, informed by reported net losses in the years before the IPO
Beta, years 1–5 / year 6 on	1.1 / 0.9	A mature, moderately-levered consumer-subscription business, not a speculative grower
Target debt ratio D/V; cost of debt	35%; 6.0%	Assumption: pre-refinancing, sub-investment-grade blended cost of debt (before the 2026 BBB– upgrade cut Verisure's own WACD to ~4.25%)
Pre-IPO shares	800,000,000	Disclosed: the share count immediately before the IPO-day issuance
Primary raise	€3.2bn	Disclosed amount raised in the listing
Gross spread, other expenses	3%, €30m	The se market default for a European IPO
Comparable EV / NTM revenue	5x	Assumption, informed by Verisure's own actual offer-price-implied multiple and the model's consumer_subscription preset default
Minimum market cap (floor)	none	Unlike Nimbus, there is no prior-round "down round" floor to defend

Everything else keeps its se-market or telecom_operator default.

3.1 Avoiding double-counting: the one subtlety this sector doesn't have in software

Verisure's economics put real money through *two* channels the model also has two channels for, and getting the split wrong silently double-charges the same euro twice:

- **Cost to serve existing customers.** Verisure discloses a Recurring Monthly Cost (RMC) of about €12.5 per customer per month — roughly €150 a year — against a *servicing-segment* ("Portfolio Services") Adjusted EBITDA margin of 74%. That €150 is a blended figure covering both non-labour costs (connectivity, consumables, third-party monitoring) *and* the labour cost of Verisure's own call-centre and field-maintenance staff. The model keeps those in two separate places — `infra_per_customer` (no staff) and the ops share of headcount cost — so using the full €150 as `infra_per_customer` *and* assigning most of the 24,767-strong workforce to ops charges the servicing labour twice. The model here uses `infra_per_customer: 60` (the non-labour share) and lets the 75% ops staff split carry the labour share instead.
- **Cost to win a new customer.** Verisure discloses a blended Cost Per Acquisition (CPA) of €1,644–1,474 per new customer, covering sales commissions, marketing, *and* the capitalised cost of the installed hardware itself (its own disclosure splits this explicitly into "Customer Acquisition expenses" and "Customer Acquisition capital expenditure"). The model's `cac_paid` field is an immediate expense; its `capex_pct` field is separately capitalised and depreciated over `useful_life`. Charging the *full* CPA through `cac_paid` while *also* running `capex_pct` at Verisure's real 25% double-counts the hardware portion of each new installation. This analysis therefore splits it: `cac_paid: 1,000` is the expensed (labour and marketing) share; the hardware share is left inside the 25% capex figure, which already includes it.

Both corrections matter in the same direction — without them, the model's first attempt at this scenario priced the DCF at roughly –€40 per share, far below either case reported here.

3.2 What the model cannot express

- **Capitalised labour.** IFRS lets Verisure capitalise part of its customer-acquisition *labour* cost onto the balance sheet (as part of the customer-portfolio intangible asset) rather than expensing it immediately. This teaching model has no such mechanism: every euro of *cac_paid* and every euro of *ops/snm* staff cost hits the income statement the year it is spent. That is the single biggest reason this model's EBIT margin (–3.0% in year 1, rising to only 2.4–5.5% by year 10) sits far below Verisure's own disclosed Adjusted EBIT margin of 26%: a meaningful share of what this model treats as a current-year expense, Verisure's own accounting treats as an asset to be amortised over many future years. "Adjusted EBITDA" for subscriber-acquisition-heavy businesses (telecoms, alarm companies, gym chains) has long drawn exactly this criticism from skeptical investors; this exercise's cash-flow-first DCF comes down on the stricter side of that debate by construction.
- **A single, static leverage ratio.** Verisure's own leverage fell from 4.8× net debt/EBITDA (pre-IPO) to 2.7× within nine months, financed partly by the IPO proceeds and partly by strong free cash flow. The model takes one constant *debt_ratio/cost_of_debt* pair for the whole discount-rate calculation; it cannot model a de-levering glide path, so the 35%/6.0% assumption here is a blend across the forecast, not a snapshot of any one year.
- **Growth capex and the asset-replacement cycle,** exactly as noted for Nimbus's GPUs: capex is a fixed share of revenue, so it does not separate hardware for *new* customers from hardware *replacing* churned or ageing installations.

4. Case A: 6-year hardware life

All amounts in millions of euros (€m) unless stated; customers in absolute numbers. The model computes in full precision and rounds only for display.

4.1 Market and customers

	Y1	Y2	Y3	Y4	Y5	Y6	Y7	Y8	
TAM (€bn)	58.3	61.5	64.7	67.7	70.6	73.2	75.7	77.9	
SAM (€bn)	23.32	24.62	25.87	27.08	28.22	29.29	30.27	31.14	3
Customers, end	6,356,226	6,868,201	7,358,951	7,821,034	8,248,181	8,635,411	8,979,020	9,276,485	9,526
Penetration of the ceiling	52.3%	55.1%	57.7%	60.2%	62.4%	64.5%	66.5%	68.2%	69
ARPU (€)	576	592	609	625	641	657	672	687	
Revenue (€m)	3,508.6	3,917.1	4,331.2	4,744.5	5,150.7	5,544.1	5,919.0	6,270.8	6,5
Revenue growth	2.9%	11.6%	10.6%	9.5%	8.6%	7.6%	6.8%	5.9%	5

Year 1 growth (2.9%) is low because year 0 (€3.41bn) is already a trailing full-year figure close to the real FY2025 actual (€3.745bn) once nine months of further growth are added back — a mature base, not a ramping startup.

4.2 Unit economics and headcount

	Year 1	Year 5	Year 10
LTV (ARPU × GM / churn)	4,266	4,899	5,336
Full CAC (S&M / gross adds)	1,190	1,376	1,686
LTV / CAC	3.6	3.6	3.2
CAC payback (months)	45.2	45.5	51.2

A payback of 45–51 months (under 4 years) against a 15-year average customer lifetime is a healthy ratio — consistent with Verisure's own disclosed Acquisition Multiple of 3.6–3.8×.

	Y1	Y5	Y10
Headcount	25,510	31,053	36,419
Staff cost (€m)	1,273.5	1,813.5	2,587.6
Revenue / employee (€)	137,540	165,871	189,146

4.3 Income statement

€m	Y1	Y2	Y3	Y4	Y5	Y6	Y7	Y8	Y9	Y10
Revenue	3,508.6	3,917.1	4,331.2	4,744.5	5,150.7	5,544.1	5,919.0	6,270.8	6,595.1	6,888.5
Infrastructure + other COGS + ops staff	1,585.0	1,743.0	1,905.4	2,070.6	2,238.2	2,406.1	2,573.5	2,736.2	2,891.5	3,037.9
Gross profit	1,923.6	2,174.1	2,425.8	2,673.6	2,912.5	3,137.9	3,345.3	3,530.5	3,683.9	3,801.7
Gross margin	54.8%	55.5%	56.0%	56.4%	56.5%	56.6%	56.5%	56.3%	55.9%	55.2%
S&M (incl. €985–1,218m paid acquisition)	1,137.9	1,210.3	1,275.8	1,333.6	1,383.7	1,426.1	1,461.1	1,489.1	1,511.5	1,528.8
R&D, G&A, SBC	463.8	510.2	558.0	606.8	656.2	705.9	755.3	804.7	855.3	907.3
EBITDA	321.9	453.6	592.0	733.1	872.6	1,005.8	1,128.7	1,236.7	1,317.1	1,365.7
D&A	426.2	501.4	581.0	664.7	751.6	840.9	931.8	1,023.1	1,113.9	1,203.0
EBIT	–104.4	–47.8	11.0	68.5	121.0	164.9	197.0	213.6	203.2	162.7
EBIT margin	–3.0%	–1.2%	0.3%	1.4%	2.3%	3.0%	3.3%	3.4%	3.1%	2.4%

EBIT margin peaks at 3.4% in year 8 and then falls again: a 6-year life means D&A keeps pace with — and eventually outgrows — a capex base that is itself 25% of a growing revenue line, exactly the compounding pattern Nimbus's 3-year GPU case showed (§4.3 of [ai-ipo.md](#)).

4.4 Free cash flow and the DCF

€m	Y1	Y2	Y3	Y4	Y5	Y6	Y7	Y8	Y9	Y10
EBIT – tax + D&A	321.9	453.6	581.0	664.6	751.6	840.9	909.1	979.1	1,072.0	1,169.5
– Capex	–874.2	–967.0	–1,070.4	–1,173.7	–1,275.5	–1,374.2	–1,468.6	–1,557.1	–1,639.1	–1,713.3
ΔNWC										
= FCFF	–552.3	–513.5	–478.4	–440.6	–402.9	–368.4	–362.4	–364.4	–363.8	–381.2

$$k_{e1} = 3.00\% + 1.1 \times 5.6\% + 0\% + 2.0\% = 11.16\%$$

years 1–5

$$k_{e2} = 3.00\% + 0.9 \times 5.6\% + 0\% = 8.04\%$$

year 6 on

$$\text{Debt D/V } 35\%; \text{ after-tax cost of debt} = 6.0\% \times (1 - 20.6\%) = 4.76\%$$

$$r1 = (1 - 35\%) \times 11.16\% + 35\% \times 4.76\% = 8.92\%$$

years 1–5

$$r2 = (1 - 35\%) \times 8.04\% + 35\% \times 4.76\% = 6.89\%$$

year 6 on and the terminal value

Year	Rate	FCFF	PV
1–5 (stage 1)	8.92%	–552.3 to –402.9	sum –1,886.0
6–10 (stage 2)	6.89%	–368.4 to –381.2	sum –986.1
Σ PV, years 1–10			–2,872.1

$$\begin{aligned}
\text{NOPAT}_{11} &= \text{EBIT}_{11} \times (1 - 21\%) = 88.4 \times 0.79 = 70.2 \text{ €m} \\
\text{RONIC} &= r_2 + 2\% = 8.89\% \\
\text{Reinvestment rate} &= g / \text{RONIC} = 2.0\% / 8.89\% = 22.5\% \\
\text{FCFF}_{11} &= \text{NOPAT}_{11} \times (1 - \text{reinvestment}) = 54.4 \text{ €m} \\
\text{TV at year 10} &= \text{FCFF}_{11} / (r_2 - g) = 54.4 / 4.89\% = 1,112.2 \text{ €m} \\
\text{PV of TV} &= 1,112.2 \times 0.4674 = 519.8 \text{ €m} \\
\text{Enterprise value} &= -2,872.1 + 519.8 = -2,352.3 \text{ €m}
\end{aligned}$$

4.5 From enterprise value to fair value

$$\begin{aligned}
\text{Equity}_{\text{pre}} &= \text{EV} + \text{cash} - \text{debt} = -2,352.3 + 22.0 - 7,754.0 = -10,084.3 \text{ €m} \\
\text{Fees} &= 3\% \times 3,200 + 30 = 126.0 \text{ €m} \\
\text{DCF price} &= (-10,084.3 - 126.0) / 800.00\text{m shares} = -12.76 \text{ €} \\
\text{EV}_{\text{comps}} &= 5 \times \text{Revenue}_1 = 5 \times 3,508.6 = 17,543.2 \text{ €m} \\
\text{Comps price} &= (17,543.2 + 22.0 - 7,754.0 - 126.0) / 800.00\text{m shares} = 12.11 \text{ €} \\
\text{Fair value} &= 0.70 \times (-12.76) + 0.30 \times 12.11 = -8.93 + 3.63 = -5.30 \text{ €}
\end{aligned}$$

The DCF is entirely dominated by net debt: at –€10.08bn of pre-money equity value, the –€2.35bn operating DCF is a small fraction of the –€7.73bn net debt that sits beneath it. The comparables valuation, which starts from enterprise value and applies the *same* bridge, is positive because 5x a €3.5bn revenue line (€17.5bn) comfortably covers the debt; the DCF's much smaller enterprise value does not.

4.6 Isolating the leverage effect

Re-running Case A with the debt set to zero (cash unchanged, every operating assumption identical) flips the verdict:

	With real net debt (€7.73bn)	With debt removed
Verdict	POSTPONE	PROCEED
Fair value per share	–€5.30	€4.36
Price range	0.01 – –€4.73	€3.50 – €3.90
Market capitalisation	n/a	€6,320m

The same operating business, unlevered, is worth a positive €4.36 per share. Verisure's actual capital structure costs its equity roughly €9.66 per share on this model — a bigger single swing than either the useful-life assumption (§5) or any other single driver tested in §7.

5. Case B: 10-year hardware life

Only the useful life changes; market, customers, revenue, staff, and every cost above D&A are identical to Case A (§4.1–§4.3).

	Y1	Y2	Y3	Y4	Y5	Y6	Y7	Y8	Y9	Y10
D&A	426.2	471.3	522.1	578.2	639.0	703.9	772.1	842.8	915.3	988.7
EBIT	–104.4	–17.8	69.9	154.9	233.6	302.0	356.7	393.9	401.8	377.0
EBIT margin	–3.0%	–0.5%	1.6%	3.3%	4.5%	5.4%	6.0%	6.3%	6.1%	5.5%
FCFF	–552.3	–513.5	–478.4	–440.6	–410.4	–430.6	–413.2	–401.6	–404.7	–425.3

Σ PV, years 1–10 = –3,004.9 €m
 TV at year 10 = 194.4 / 4.89% = 3,973.7 €m; PV of TV = 1,857.3 €m
 Enterprise value = –3,004.9 + 1,857.3 = –1,147.6 €m

Equity_pre = –1,147.6 + 22.0 – 7,754.0 = –8,879.6 €m
 DCF price = (–8,879.6 – 126.0) / 800.00m = –11.26 €
 Comps price = 12.11 € (unchanged: comparables don't see capex or useful life)
 Fair value = 0.70 × (–11.26) + 0.30 × 12.11 = –4.25 €

A 4-year longer hardware life raises peak EBIT margin from 3.4% (Case A, year 8) to 6.3% (Case B, year 8) and the DCF price by €1.50 — real, but far smaller than the €9.66 the leverage alone costs (\$4.6), and smaller than the GPU-life swing in the Nimbus case, because 25% capex is fixed in both cases; only its depreciation *pace* differs.

6. The two cases, and the leverage counterfactual, side by side

	Case A: 6yr	Case B: 10yr	Debt removed (Case A)
Enterprise value	–€2,352m	–€1,148m	–€2,352m (unchanged)
DCF price	–€12.76	–€11.26	n/a (uses comps blend)
Fair value	–€5.30	–€4.25	€4.36
Verdict	POSTPONE	POSTPONE	PROCEED

7. Monte Carlo

10,000 draws, seed 42, the scenario drivers varied as in §12 of the design ([EduMatcher-valuation.md](#)):

	Case A	Case B
Fair value, P5	–€13.13	–€12.20
Fair value, median	–€6.36	–€5.34
Fair value, P95	€0.13	€1.33
Mean fair value	–€6.41	–€5.36
P(DCF equity below zero)	99.8%	99.0%

Even at the 95th percentile of every favourable driver simultaneously, fair value barely clears zero in either case. On this model's architecture — which expenses the full cash cost of acquisition rather than capitalising the labour share Verisure's own accounting does (§3.2) — almost no plausible combination of operating assumptions overcomes €7.7bn of net debt sitting beneath a mid-single-digit-billion-euro operating DCF.

8. Sensitivity

Each row changes one assumption from the Case A base, holding debt at its real €7.754bn. DCF and fair value per share in euros.

Change	DCF price	Fair value
Base case (Case A)	–12.76	–5.30
Comparables multiple 7× instead of 5×	–12.76	2.78
Comparables multiple 3× instead of 5×	–12.76	–13.38
Terminal growth 2.5% instead of 2.0%	–11.97	–4.74
Cost of debt 4.25% instead of 6.0% (the real post-upgrade WACD)	–10.42	–4.01
Churn 6% instead of 7.4%	–8.14	–2.05
Debt removed entirely	n/a	4.36

- **Nothing except removing the debt itself reliably flips the verdict.** Even a two-point swing in the comparables multiple (5x→7x) only just clears zero; a cheaper cost of debt (matching Verisure's real post-upgrade 4.25% WACD) narrows the gap but does not close it.
- **The comparables valuation is the one number in this whole exercise that lines up with reality.** At 5x, it values the business at €12.11/share — within shouting distance of the real €12.25–13.50 IPO range quoted by the WSJ, confirming that real investors priced this deal on a multiple of revenue applied to the operating business, exactly as the model's 30% comparables weight (on its own) would suggest.

9. What actually happened

Because Verisure is real, this section does something Nimbus's fictive case cannot: compare the model's verdict with the market's own.

	Model (this exercise)	The real IPO
Price range	postponed (fair value negative)	€12.25–13.50
Offer price	n/a	≈€13.25–13.68 (implied by the €3.2bn raised ÷ new shares, and by the €13.7bn post-money valuation ÷ 1.034bn shares)
First-day move	n/a	+21% ("jump on debut", per the FT)
Comparables-only fair value	€12.11	close to the actual offer price
Price one year later (8 Oct 2026)	n/a	€7.89 (market cap €8.158bn)
One-year total return	n/a	–45.84%

The real market, like this model's 30%-weighted comparables view, priced Verisure on a revenue multiple applied to a fast-growing, high-retention subscriber base — not on an unlevered DCF of its cash flows net of €7.7bn of debt. A year on, the stock has fallen toward levels much closer to what a leverage-aware, cash-flow-first view (closer to this model's full –70%/30% blend, which is deeply negative, or at least to a discount from the comparables-only figure) would suggest. Whether that fall reflects the market catching up with the DCF's warning about leverage, a re-rating of growth stocks generally, company-specific execution issues, or some mix of all three is outside what this model — or this document — can say; the 46% decline is a fact, its cause is not.

10. What the analysis says

1. **A private-equity-leveraged subscription business is not a software company wearing a telecom's capex.** Verisure's gross margin and churn look like a best-in-class consumer subscription business; its balance sheet — 4.8x net debt/EBITDA at the point of listing — looks like a leveraged buyout, because that is exactly what it was. A valuation framework built around unlevered FCFF has to work hard to see past that much debt, and on this model's numbers, it largely fails to.
2. **"Capex intensity" and "useful life" are two different questions, and only one of them is disclosed.** Verisure discloses capex ÷ revenue every quarter (23.9–25.8%); it does not disclose how long the installed base lasts. Bracketing that unknown (6 vs 10 years) moved the DCF by only €1.50 per share here — far less than it moved Nimbus's GPU case — because the capex itself, unlike Nimbus's, is a real, fixed, disclosed number in both cases.
3. **Getting the acquisition-cost split wrong is the easiest way to break this kind of analysis.** A business that both expenses labour and capitalises hardware for the same unit of growth (a "customer") needs its cost-per-acquisition split carefully between the model's `cac_paid` and `capex_pct` inputs, or the same euro gets charged twice (\$3.1). The first attempt at this exercise, before that correction, priced the DCF near –€40 per share.
4. **The comparables method, not the DCF, is what real IPO pricing actually rewarded here** — and, on the evidence of one subsequent year of trading, may have rewarded it more than the fundamentals could sustain.
5. **Debt dominates.** Of every lever tested in §8, only removing Verisure's actual €7.7bn of pre-IPO net debt reliably turns this model's verdict from POSTPONE to PROCEED. For a business this levered, the capital structure is not a footnote to the valuation; it is most of the valuation.

11. Reproducing the numbers

The two scenario files used here (Case B differs only in `capital.useful_life`):


```
pm_valuation: 1
company:
  name: Verisure plc
  ticker: VSURE
  sector: telecom_operator
  dual_class: 'no'
  market: se
market:
  tam: 55bn
  tam_growth: 6%
  sam_share: 40%
  structure: dominant
customers:
  last_fy_revenue: 3.41bn
  now: 5,831,400
  arpu: 559
  arpu_growth: 3%
  churn: 7.4%
  growth_y1: 9%
people:
  headcount: 24,767
  loaded_cost: 48,000
  wage_inflation: 4%
  elasticity: '0.5'
  growth_floor: 3%
  split_rnd: 3%
  split_snm: 12%
  split_gna: 10%
  split_ops: 75%
costs:
  infra_fixed: 80m
  infra_per_customer: 60
  other_cogs_pct: 5%
  cac_paid: 1,000
  rnd_nonstaff_pct: 1%
  sbc_pct: 10%
capital:
  capex_pct: 25%
  useful_life: '6'
  nol: 300m
  cash: 22m
  debt: 7,754m
rates:
  beta_stage1: '1.1'
  beta_stage2: '0.9'
  size_premium_1: 0%
  size_premium_2: 0%
  execution_premium: 2%
  debt_ratio: 35%
  cost_of_debt: 6%
offering:
  shares_pre: 800,000,000
  raise: 3.2bn
  gross_spread: 3%
  other_expenses: 30m
investors:
  inst_interest: very_high
  n_institutions: '200'
```

```
avg_ticket: 300m
retail_interest: high
n_retail: 300,000
retail_application: 10,000
hype: '6'
comps_multiple: 5x
management:
  min_market_cap: none
```

```
pm-valuation --load verisure-6y.yaml --no-tui --mode deterministic --export verisu
pm-valuation --load verisure-10y.yaml --no-tui --mode deterministic --export veris
pm-valuation --load verisure-6y.yaml --no-tui --mode montecarlo --export verisure-
```

For §4.6, set `capital.debt`: 22m (equal to cash) and rerun. The report's sections hold every table of §4–§7.

Sources

- [Wikipedia: Verisure](#)
- [Financial Times, 8 Oct 2025: Verisure shares jump 21% on debut after raising €3.2bn in listing](#)
- [The Wall Street Journal, 29 Sep 2025: Verisure Seeks Up to \\$16.3 Billion Valuation in Largest Europe IPO Since 2022](#)
- [Verisure plc: Investor relations — key figures](#)
- [Verisure plc: Q2 2026 Results \(30 Jul 2026\)](#)
- [Verisure plc: Number of shares and votes \(30 Sep 2026\)](#)
- [Verisure plc: Annual Reports](#)
- [Yahoo Finance: Verisure plc \(VSURE.ST\)](#)